FINANCIAL DILIGENCE SUPPORT - RECORD 017

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-017

1. What was reviewed, from which systems, and on what basis

The reviewer records the boundaries of the work at the front of the file so that the reader can see what has not been done as clearly as what has. As to the facts,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On the documents,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified.

On the evidence,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. As to the facts,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. By reference,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. HC-2052 (Crestline Fulfillment) runs 48 months from 2024-06-27. From the extract,, four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Under Crestline Fulfillment, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 across the contracted term. Two amendments: an October 2024 change deferred the third site by two quarters, and a January 2026 change converted twelve leased units to purchased units. For Crestline Fulfillment, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

On reperformance,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. On any view,, cash application is performed by the same person who maintains the customer master, which is what allowed an overpayment to be applied to a settled invoice. On the substance,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. HC-2121 (Redbank Distribution) runs 48 months from 2025-11-14. In the file,, hardware in two tranches, a subscription with a committed minimum, and a deployment obligation with liquidated damages for late go-live. Under Redbank Distribution, the item was raised in the interim update and is carried forward unchanged into this file. Redbank Distribution carries contracted hardware of $2,398,400, annual subscription value of $1,186,500 and a deployment fee of $342,500 across the contracted term. A April 2026 amendment reset the go-live date and waived accrued liquidated damages in exchange for a term extension. For Redbank Distribution, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

Against the ledger,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. Per the register,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. In sequence,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. HC-2092 (Meridian Cold Chain) runs 36 months from 2025-05-30. On the record,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. Under Meridian Cold Chain, the file records the question asked, the answer given and the document that settled it. Meridian Cold Chain carries contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000 across the contracted term. On Meridian Cold Chain, the conclusion is stated at the low end of the supportable range, as the file convention requires. Revenue for the validation obligation was recognized before the extended validation completed; the cutoff test flagged the timing.

2. Manual, round-dollar and post-close entries

The journal population was stratified before selection, and the strata were chosen for the characteristics that correlate with error rather than for value alone. On the documents,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. On the

source,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results.

Taken alone, a related-party entry of $43,200 appears as JE-24-0759 on 2024-08-30. Read narrowly,, sublease rent to a founder-owned property entity was posted at a rate above comparable industrial space. Two broker opinions were obtained; the lower opinion was used to size the normalization. For this related-party entry the preparer was T. Vasquez, approved by M. Okonjo. On this related-party entry, the item was traced from the summary schedule through the sub-ledger to the source document. JE-25-0709 is a duplicate accrual of $27,315 posted on 2025-07-31. On the substance,, freight for two shipments was accrued twice from two different source documents. On this duplicate accrual, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. This duplicate accrual was prepared by M. Okonjo and approved by T. Vasquez. The duplicate reversed in December 2025; the periods either side are both misstated and were corrected in the analysis. JE-25-0644 is a reserve release of $96,150 posted on 2025-06-30. In review,, the warranty reserve for a superseded gripper assembly was released to cost of sales at the half year. On this reserve release, the conclusion is stated at the low end of the supportable range, as the file convention requires. This reserve release was prepared by T. Vasquez and approved by M. Okonjo. Release is supportable but the reviewer treats the margin benefit as a normalization item rather than as run-rate.

JE-24-1103 is a reversal of a prior accrual of $74,900 posted on 2024-12-31. On the papers,, the FY2024 bonus accrual was reversed in full on the last day of the year following a board decision recorded only in an email. On this reversal of a prior, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. This reversal of a prior accrual was prepared by T. Vasquez and approved by M. Okonjo. The reversal is factually supported but the reviewer treats the benefit as a timing item on the adjustment schedule. On reperformance, the log carries JE-26-0561, posted 2026-06-30 by External adviser approved by M. Okonjo, for $48,300 and classified as a post-close adjustment. On the substance,, the warranty accrual was increased after the close was declared complete, following the reviewer's failure-rate analysis. The entry reflects an agreed correction; the amount differs from the reviewer's first estimate and the lower figure was adopted. On this post-close adjustment, the amount was agreed to the underlying system extract without a residual difference. In this stream, testing surfaced JE-25-0605, posted 2025-06-13 by T. Vasquez approved by M. Okonjo, for $62,900 and classified as a early revenue recognition. In substance,, a pilot fee was recognized on invoice eleven weeks before the pilot service window opened. For this early revenue recognition, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. On this early revenue recognition, the item was traced from the summary schedule through the sub-ledger to the source document.

JE-24-0418 is a unapproved manual entry of $148,600 posted on 2024-03-31. Per the register,, a revenue reclassification posted on the last day of the quarter carries no approver in the workflow log. On this unapproved manual entry, the item was traced from the summary schedule through the sub-ledger to the source document. This unapproved manual entry was prepared by R. Calloway and with no approver recorded. For this unapproved manual entry, the reviewer declined to net this item against another with an opposite direction in the same period. Read narrowly, testing surfaced JE-26-0291, posted 2026-03-27 by L. Brantley approved by M. Okonjo, for $34,000 and classified as a interim staffing accrual. On any view,, the final month of the interim finance engagement was accrued at a rate different from the engagement letter. The difference is small; the engagement letter rate was used in the reviewer's recomputation. On this interim staffing accrual, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On a second read, a further exception, JE-24-1118, posted 2024-12-31 by External adviser approved by M. Okonjo, for $267,500 and classified as a post-close adjustment. In the file,, an inventory obsolescence charge was posted eleven days after the close was declared complete. The entry is supported by an engineering change notice; the reviewer split it between recurring and one-time components. On this post-close adjustment, a small residual difference remains and is reported rather than described as immaterial and omitted.

Schedule 17.1 - Journal entry exception log

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
JE-24-0301	2024-02-29	M. Okonjo	T. Vasquez	62,400	Lease accounting entry	The Fremont abatement was recorded as a rent reduction in the ab	The straight-line schedule was recomputed and the normal

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
JE-24-0533	2024-05-31	M. Okonjo	T. Vasquez	120,000	Related-party entry	A flat monthly management fee to a founder-controlled entity was	The reviewer reduced the add-back to the portion for whi
JE-24-0692	2024-06-30	M. Okonjo	R. Calloway	75,000	Round-dollar entry	An exactly round accrual for professional fees was posted withou	The subsequent invoice totalled a different amount, and
JE-24-0759	2024-08-30	T. Vasquez	M. Okonjo	43,200	Related-party entry	Sublease rent to a founder-owned property entity was posted at a	Two broker opinions were obtained; the lower opinion was
JE-24-0871	2024-09-30	R. Calloway	R. Calloway	96,400	Self-approved entry	The preparer and approver are the same person on a quarter-end d	Segregation of duties was restored in the November 2024
JE-24-1103	2024-12-31	T. Vasquez	M. Okonjo	74,900	Reversal of a prior accrual	The FY2024 bonus accrual was reversed in full on the last day of	The reversal is factually supported but the reviewer tre
JE-24-1118	2024-12-31	External adviser	M. Okonjo	267,500	Post-close adjustment	An inventory obsolescence charge was posted eleven days after th	The entry is supported by an engineering change notice;
JE-25-0311	2025-03-31	M. Okonjo	T. Vasquez	213,800	Capitalization entry	Deployment crew labour was moved from cost of sales to internal-	The reviewer reversed the entry in its analysis; managem
JE-25-0455	2025-05-01	L. Brantley	M. Okonjo	46,900	Prepaid correction	A maintenance contract expensed on payment in 2024 was partially	The correction is in the right direction but was recorde
JE-25-0517	2025-05-30	L. Brantley	M. Okonjo	62,400	Entry by an unexpected preparer	A revenue entry was prepared by a member of the sales operations	The entry was correct, but preparer access rights were r
JE-25-0605	2025-06-13	T. Vasquez	M. Okonjo	62,900	Early revenue recognition	A pilot fee was recognized on invoice eleven weeks before the pi	The revenue was deferred into the correct period and the
JE-25-0644	2025-06-30	T. Vasquez	M. Okonjo	96,150	Reserve release	The warranty reserve for a superseded gripper assembly was relea	Release is supportable but the reviewer treats the margi
JE-25-0709	2025-07-31	M. Okonjo	T. Vasquez	27,315	Duplicate accrual	Freight for two shipments was accrued twice from two different s	The duplicate reversed in December 2025; the periods eit
JE-25-0822	2025-08-29	R. Calloway	R. Calloway	186,400	Self-approved entry	The severance accrual for the departing operations	The separation agreement supports the amount; the

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
						leader was pr	contro
JE-25-1046	2025-10-31	T. Vasquez	M. Okonjo	57,450	Round-dollar entry	A round software subscription accrual was posted while two overl	The accrual was replaced by invoiced amounts in November
JE-25-1174	2025-11-28	M. Okonjo	T. Vasquez	118,700	Credit memorandum	A service credit to a major account was posted as a reduction of	The classification is defensible but the recurrence judg
JE-25-1291	2025-12-31	R. Calloway	None recorded	109,400	Unapproved manual entry	A commission accrual true-up was posted at year end without an a	The register was later provided and supports a larger ac
JE-26-0134	2026-02-13	M. Okonjo	T. Vasquez	96,800	Credit to expense	A research credit relating to two earlier years was credited to	The credit study attributes the qualifying spend to earl
JE-26-0291	2026-03-27	L. Brantley	M. Okonjo	34,000	Interim staffing accrual	The final month of the interim finance engagement was accrued at	The difference is small; the engagement letter rate was
JE-26-0248	2026-03-31	M. Okonjo	T. Vasquez	53,400	Misapplied cash receipt	An Evergreen overpayment was applied to a settled invoice and re	The reviewer reversed the release and treated the balanc
JE-26-0402	2026-04-30	L. Brantley	M. Okonjo	61,400	Capitalization entry	Cloud configuration work was capitalized on the basis of a summa	Ticket-level evidence supported only part of the amount;
JE-26-0488	2026-05-29	T. Vasquez	M. Okonjo	25,000	Round-dollar entry	A round accrual for the October 2026 customer summit was posted	The accrual is premature but the underlying commitment i
JE-26-0556	2026-06-30	M. Okonjo	None recorded	168,000	Unapproved manual entry	A headcount annualization entry was posted at the period end wit	The offer letters were produced during fieldwork and sup
JE-26-0563	2026-06-30	R. Calloway	R. Calloway	121,000	Self-approved entry	The hosting savings memo adjustment was posted into the manageme	Removed from the statutory view; the contractual portion

3. Stratification of the journal population and selection basis

Stratification is reported before results so that a reader can see what proportion of the population each conclusion rests on. Per the workpaper,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. In sequence,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report.

JE-25-0455 is a prepaid correction of $46,900 posted on 2025-05-01. Per the index,, a maintenance contract expensed on payment in 2024 was partially reinstated as a prepaid asset in 2025. On this prepaid correction, the item is cross-referenced to the corresponding entry in the information request register. This prepaid correction was prepared by

L. Brantley and approved by M. Okonjo. For this prepaid correction, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. JE-25-1288 is a post-close adjustment of $142,650 posted on 2025-12-31. Against the ledger,, rework campaign scrap was reclassified between cost lines nine days after the close was declared final. On this post-close adjustment, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. This post-close adjustment was prepared by External adviser and approved by M. Okonjo. For this post-close adjustment, the conclusion rests on a document produced by a third party rather than by the company. In substance, testing surfaced JE-24-0533, posted 2024-05-31 by M. Okonjo approved by T. Vasquez, for $120,000 and classified as a related-party entry. At the cut-off,, a flat monthly management fee to a founder-controlled entity was posted from a standing journal template. The reviewer reduced the add-back to the portion for which no continuing service was identified. On this related-party entry, the explanation offered was plausible and was still corroborated against a document before being accepted.

In detail, a lease accounting entry of $62,400 appears as JE-24-0301 on 2024-02-29. Per the register,, the Fremont abatement was recorded as a rent reduction in the abated months rather than straight-lined. For this lease accounting entry, the reviewer confirmed that the same item does not also appear on the net debt schedule. For this lease accounting entry the preparer was M. Okonjo, approved by T. Vasquez. On this lease accounting entry, the reviewer declined to net this item against another with an opposite direction in the same period. On a second read, also flagged is JE-26-0556, posted 2026-06-30 by M. Okonjo with no approver recorded, for $168,000 and classified as a unapproved manual entry. From the extract,, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. The offer letters were produced during fieldwork and support the amount; the approval gap is reported. On this unapproved manual entry, the item is presented gross so that a reader can rebuild the measure from reported results. JE-26-0402 is a capitalization entry of $61,400 posted on 2026-04-30. In this stream,, cloud configuration work was capitalized on the basis of a summary description rather than ticket-level evidence. On this capitalization entry, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. This capitalization entry was prepared by L. Brantley and approved by M. Okonjo. For this capitalization entry, the item was selected for testing because of its characteristics rather than its size.

Per the register, the exception log records JE-25-0709, posted 2025-07-31 by M. Okonjo approved by T. Vasquez, for $27,315 and classified as a duplicate accrual. On the substance,, freight for two shipments was accrued twice from two different source documents. The duplicate reversed in December 2025; the periods either side are both misstated and were corrected in the analysis. On this duplicate accrual, the amount was agreed to the underlying system extract without a residual difference. On reperformance, a round-dollar entry of $42,000 appears as JE-25-0142 on 2025-02-28. On the documents,, a round accrual for recruiting fees was posted before the search firm's invoice arrived. The invoice differed by a small amount and the accrual was trued up in March 2025; no further action required. For this round-dollar entry the preparer was L. Brantley, approved by M. Okonjo. On this round-dollar entry, the item was raised in the interim update and is carried forward unchanged into this file. On testing, the reviewer examined JE-26-0207, posted 2026-03-02 by L. Brantley approved by M. Okonjo, for $31,200 and classified as a credit to expense. Taken alone,, a cargo insurance premium refund was credited to insurance expense rather than being deferred over the replacement policy. The credit was removed from the measured period because coverage cost did not actually fall. On this credit to expense, the reviewer notes that management agreed the facts while reserving its position on the treatment.

Schedule 17.2 - Journal population stratification

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
Manual entries above $250,000 - FY2025	116	4,626,116	28	17	3
Manual entries above $250,000 - LTM Jun-2026	36	5,628,575	0	2	15
Manual entries $100,000 to $250,000 - FY2025	46	225,609	3	5	13
Manual entries $100,000 to $250,000 - LTM Jun-2026	56	8,123,519	8	4	10
Manual entries $25,000 to $100,000 - FY2025	33	6,233,182	7	3	14

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
Manual entries $25,000 to $100,000 - LTM Jun-2026	148	12,450,848	19	20	9
Manual entries below $25,000 - FY2025	126	8,482,276	14	14	9
Manual entries below $25,000 - LTM Jun-2026	84	5,418,580	2	6	14
Round-dollar entries at or above $10,000 - FY2025	128	11,981,824	3	11	12
Round-dollar entries at or above $10,000 - LTM Jun-2026	115	2,046,605	26	1	7
Entries posted in the last three days of a period - FY2025	138	4,368,028	29	4	14
Entries posted in the last three days of a period - LTM Jun-2026	58	9,490,294	6	6	16
Entries posted after the close was declared complete - FY2025	51	4,538,488	0	3	16
Entries posted after the close was declared complete - LTM Jun-2026	81	4,862,966	1	4	14
Entries where preparer equals approver - FY2025	135	7,791,086	18	2	18
Entries where preparer equals approver - LTM Jun-2026	55	5,582,117	0	9	6
Entries with no approver recorded - FY2025	129	2,069,798	27	16	18
Entries with no approver recorded - LTM Jun-2026	117	1,455,025	4	19	18
Entries by preparers outside the accounting team - FY2025	129	3,570,102	25	0	15
Entries by preparers outside the accounting team - LTM Jun-2026	103	7,154,479	2	9	13

4. Basis of preparation and the control environment behind the numbers

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. From the extract,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. In detail,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead.

On the balance,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. At the cut-off,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. In the event,, the standalone selling price analysis supporting allocation on the bundled contracts has not been provided, and the revenue split between obligations on those contracts is therefore unverified. In substance, a entry by an unexpected preparer of $62,400 appears as JE-25-0517 on 2025-05-30. By reference,, a revenue entry was prepared by a member of the sales operations team rather than the accounting team. For this entry by an unexpected, the explanation offered was

plausible and was still corroborated against a document before being accepted. For this entry by an unexpected preparer the preparer was L. Brantley, approved by M. Okonjo. On this entry by an unexpected, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

On its facts,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. By reference,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. On the substance,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. JE-24-0301 is a lease accounting entry of $62,400 posted on 2024-02-29. As to the facts,, the Fremont abatement was recorded as a rent reduction in the abated months rather than straight-lined. On this lease accounting entry, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. This lease accounting entry was prepared by M. Okonjo and approved by T. Vasquez. The straight-line schedule was recomputed and the normalization placed on the adjustment schedule.

In sequence,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. On reperformance,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. On inspection,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead. On any view, a prepaid correction of $46,900 appears as JE-25-0455 on 2025-05-01. On this point,, a maintenance contract expensed on payment in 2024 was partially reinstated as a prepaid asset in 2025. For this prepaid correction, a small residual difference remains and is reported rather than described as immaterial and omitted. For this prepaid correction the preparer was L. Brantley, approved by M. Okonjo. On this prepaid correction, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

Schedule 17.3 - Trial balance to management report tie-out

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
4010	Subscription revenue	291,334	292,475	1,141	Management reclassification reversed
4020	Hardware revenue	3,179,225	3,179,755	530	Agrees without difference
4030	Deployment services revenue	3,343,009	3,347,750	4,741	Memo adjustment posted in the management ledger
4040	Training and onboarding revenue	933,510	938,233	4,723	Rounding in the reporting pack
4050	Analytics module revenue	1,763,928	1,766,754	2,826	Rounding in the reporting pack
4090	Service credits	4,121,908	4,124,948	3,040	Timing of the July mapping change
5010	Chassis and drive assemblies	4,700,247	4,703,165	2,918	Timing of the July mapping change
5020	Sensor and vision modules	1,961,402	1,960,985	(417)	Management reclassification reversed
5030	Scrap and yield loss	505,937	502,589	(3,348)	Timing of the July mapping change
5040	Rework and refurbishment	4,831,574	4,834,964	3,390	Memo adjustment posted in the management ledger
5110	Hosting compute	3,009,415	3,012,313	2,898	Memo adjustment posted in the management ledger
5120	Storage and retention	1,951,719	1,949,011	(2,708)	Management reclassification reversed
5130	Data egress	2,381,258	2,381,202	(56)	Memo adjustment posted in the management ledger
5210	Deployment crew wages	4,687,307	4,689,251	1,944	Agrees without difference
5220	Travel and per diem	1,158,023	1,154,688	(3,335)	Rounding in the reporting pack

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
5230	Subcontracted installation	1,005,100	1,002,538	(2,562)	Allocation applied only in management reporting
5310	Warranty parts	4,110,296	4,106,277	(4,019)	Allocation applied only in management reporting
5320	Spares carrying cost	787,453	791,674	4,221	Memo adjustment posted in the management ledger
5410	Inbound freight	569,854	565,732	(4,122)	Allocation applied only in management reporting
5420	Outbound freight	3,213,961	3,211,266	(2,695)	Management reclassification reversed
5430	Customs duty and brokerage	4,469,581	4,471,132	1,551	Memo adjustment posted in the management ledger
6110	Engineering salaries	3,434,244	3,437,571	3,327	Rounding in the reporting pack
6120	Capitalized development	949,497	947,014	(2,483)	Timing of the July mapping change
6210	Sales salaries	3,930,839	3,930,422	(417)	Agrees without difference
6220	Sales commissions	4,212,014	4,210,668	(1,346)	Timing of the July mapping change
6230	Marketing and events	1,274,571	1,272,145	(2,426)	Memo adjustment posted in the management ledger
6310	General and administrative	1,542,969	1,541,872	(1,097)	Cut-off entry posted after the extract
6320	Professional fees	3,891,460	3,891,522	62	Timing of the July mapping change
6330	Insurance	3,908,455	3,904,408	(4,047)	Agrees without difference
6410	Vehicle costs	1,719,675	1,715,679	(3,996)	Management reclassification reversed
6455	Club and membership dues	2,209,266	2,209,607	341	Allocation applied only in management reporting
6510	Occupancy - Fremont	4,025,871	4,028,087	2,216	Agrees without difference
6520	Occupancy - sublease	926,458	922,319	(4,139)	Memo adjustment posted in the management ledger
6610	Share-based compensation	615,703	620,015	4,312	Cut-off entry posted after the extract
6710	Depreciation - tooling	2,573,658	2,569,288	(4,370)	Allocation applied only in management reporting
6720	Depreciation - fleet	1,213,158	1,214,834	1,676	Agrees without difference
7010	Interest expense	2,021,012	2,021,976	964	Memo adjustment posted in the management ledger
7020	Other income - grants	267,120	267,447	327	Rounding in the reporting pack
7030	Foreign exchange	3,611,394	3,610,260	(1,134)	Management reclassification reversed
7040	Research credits	2,575,376	2,576,772	1,396	Timing of the July mapping change

5. Cutoff testing and period attribution

Period attribution was decided from the document that fixes the service period rather than from the invoice date, and the two differ often enough in this population to matter. In sequence,, journal approval operates through a workflow

field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. In the file,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule.

RS-020 covers discounted unit option on HC-2109. On reperformance,, the option was assessed as a material right and management allocated no consideration to it; the reviewer left the judgment open pending a pricing analysis. On discounted unit option, the reviewer recorded that no comparable item was found in the two earlier periods examined. The discounted unit option amount was recognized in 2026-04 and tested against 2026-04. For discounted unit option the exception is classified as judgment, and no amount effect could be quantified from the available support. On the papers, under HC-2052 the deployment milestone three obligation was recognized in 2026-02. By agreement,, the milestone definition, the customer sign-off and the invoice all agree, and the amount allocated matches the contract schedule. No exception was recorded. The workpaper for deployment milestone three is RS-006, tested against 2026-02. On deployment milestone three, the file records the question asked, the answer given and the document that settled it. RS-034 covers phase three acceleration on HC-2074. On this point,, the May 2026 amendment accelerated phase three and the revised acceptance date was verified to the customer's written confirmation. On phase three acceleration, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. The phase three acceleration amount was recognized in 2026-06 and tested against 2026-06. No exception was recorded.

RS-028 covers deployment fee invoiced in advance on HC-2156. On a second read,, no performance had occurred by the cut-off and the entire invoice sits in deferred revenue, which was traced into the closing rollforward. On deployment fee invoiced in, the reviewer declined to net this item against another with an opposite direction in the same period. The deployment fee invoiced in advance amount was not yet recognized at the cut-off and tested against 2026-06. No exception was recorded. Taken alone, a further sample item, RS-004, the hardware - site two obligation under HC-2052, recognized in 2025-02 and tested against 2025-02. In the event,, transfer was verified to an acceptance certificate signed by the customer's engineering manager on the recorded date. No exception was recorded. On hardware site two, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. RS-009 covers subscription - unit count reduction on HC-2063. On the source,, the July 2025 amendment reduced the active unit count from the start of July, but the billing system continued to invoice the original count for one further cycle. On subscription unit count, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. The subscription - unit count reduction amount was recognized in 2025-08 and tested against 2025-07. For subscription - unit count reduction the exception is classified as timing with an amount effect of $34,800.

Per the index, under HC-2127 the channel partner referral fee obligation was recognized in 2026-03. In the file,, the company is not the principal for the partner-delivered deployment work, and only the referral fee is recorded. No exception was recorded. The workpaper for channel partner referral fee is RS-023, tested against 2026-03. On channel partner referral fee, the item was traced from the summary schedule through the sub-ledger to the source document. Per the register, under HC-2173 the subscription ramp - contract asset obligation was recognized in 2025-06. On inspection,, the contract asset created by the twelve-month price ramp agrees to the contract but is presented within trade receivables rather than separately. For subscription ramp - contract asset the exception is classified as presentation, and no amount effect could be quantified from the available support. The workpaper for subscription ramp - contract asset is RS-031, tested against 2025-06. On subscription ramp contract, the reviewer left the amount unchanged after review but strengthened the evidence reference. RS-003 covers bundled monitoring service on HC-2047. Per the workpaper,, no observable standalone price exists for the monitoring element, and the expected cost plus margin estimate was reperformed within a range the reviewer accepts. On bundled monitoring service, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. The bundled monitoring service amount was recognized in 2025-08 and tested against 2025-08. For bundled monitoring service the exception is classified as estimate, and no amount effect could be quantified from the available support.

On its facts, under HC-2086 the volume tier subscription obligation was recognized in 2026-03. In this stream,, the tier assumed in the estimate was achieved on actual unit counts, so no constraint adjustment arises for the quarter tested. For volume tier subscription the exception is classified as estimate, and no amount effect could be quantified from the available support. The workpaper for volume tier subscription is RS-014, tested against 2026-03. On volume tier subscription, the reviewer left the amount unchanged after review but strengthened the evidence reference. RS-030 covers deployment fee refund on HC-2168. From the extract,, a partial refund of the deployment fee was recorded as a revenue

reduction in the month of payment rather than against the periods in which the fee had been recognized. On deployment fee refund, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. The deployment fee refund amount was recognized in 2025-09 and tested against 2024-11. For deployment fee refund the exception is classified as timing with an amount effect of $41,200. RS-007 covers platform fee on HC-2058. Per the workpaper,, the pilot fee was recognized ratably over the pilot term, which is consistent with the loan-basis hardware arrangement. On platform fee, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. The platform fee amount was recognized in 2024-11 and tested against 2024-11. No exception was recorded.

6. Cash proof and receipt matching

Unapplied and undeposited items are reported rather than netted, because both carry consequences for the closing balance sheet. On its facts,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. As matters stand,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent.

Overpayment applied to is the recorded cause on a receipt of $53,400 banked on 2026-03-27 and matched to INV-8791 (settled). For overpayment applied to on matching, no invoice was applied against it, so the whole $53,400 sat outside trade receivables. On inspection,, overpayment applied to a settled invoice and released to revenue; reversed in the analysis. Against overpayment applied to, the reviewer notes that management agreed the facts while reserving its position on the treatment. Both the bank entry and the ledger posting were inspected. On a second read, the proof covers a receipt of $742,860 banked on 2026-06-04 against INV-8956, INV-8958, INV-8961, where the applied amount agrees at $742,860 with no variance. On the documents,, largest single receipt in the sample; matched across three invoices. On largest single receipt, the receipt was traced from the bank statement to the cash book and then to the customer account. Against largest single receipt, the item is presented gross so that a reader can rebuild the measure from reported results. Full match against is the recorded cause on a receipt of $96,540 banked on 2026-06-25 and matched to INV-8981, INV-8983. For full match against on matching, the applied amount agrees at $96,540 with no variance. On the record,, full match against two subscription invoices. Against full match against, a small residual difference remains and is reported rather than described as immaterial and omitted. Both the bank entry and the ledger posting were inspected.

On this point, the receipt banked 2026-03-11 for $74,500 was traced to Unapplied. On the balance,, deposit received before invoicing; held as a customer deposit at the reviewer's request. After matching against deposit received before, no invoice was applied against it, so the whole $74,500 sat outside trade receivables. On deposit received before, the reviewer confirmed the posting date agrees with the bank value date. Against deposit received before, the reviewer recorded that no comparable item was found in the two earlier periods examined. At the cut-off, the bank record shows a receipt of $214,680 banked on 2026-06-18 against INV-8974, where the applied amount was $216,200, a variance of $1,520. On the source,, withholding applied by the customer's shared service centre and recovered in July. On withholding applied by, the receipt was traced from the bank statement to the cash book and then to the customer account. Against withholding applied by, the conclusion rests on a document produced by a third party rather than by the company. On the record, the cash proof records a receipt of $512,900 banked on 2026-02-26 against INV-8861, where the applied amount agrees at $512,900 with no variance. On the substance,, milestone payment matched to a single invoice with the customer's purchase order reference. On milestone payment matched, the receipt was traced from the bank statement to the cash book and then to the customer account. Against milestone payment matched, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

On the balance, the bank record shows a receipt of $348,620 banked on 2026-03-19 against INV-8884, where the applied amount was $346,980, a variance of $1,640. Read narrowly,, bank charges deducted by the paying bank rather than an invoice dispute. On bank charges deducted, the receipt was traced from the bank statement to the cash book and then to the customer account. Against bank charges deducted, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Customer withheld a is the recorded cause on a receipt of $142,680 banked on 2026-01-22 and matched to INV-8829. For customer withheld a on matching, the applied amount was $143,180, a variance of $500. On reperformance,, customer withheld a disputed freight charge which was credited in February. Against customer withheld a, the item was projected across the population on the basis stated in the accompanying

schedule. Both the bank entry and the ledger posting were inspected. On a second read, the proof covers a receipt of $96,320 banked on 2026-02-17 against INV-8853, where the applied amount was $98,640, a variance of $2,320. On any view,, early settlement discount taken outside the contractual terms; the difference was written off. On early settlement discount, the receipt was traced from the bank statement to the cash book and then to the customer account. Against early settlement discount, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

On the source, also traced was a receipt of $342,180 banked on 2026-01-30 against INV-8836, where the applied amount agrees at $342,180 with no variance. In substance,, full match; the receipt cleared two days after the invoice due date. On full match; the, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; the, no further procedures were considered necessary once the source document had been inspected. In the event, the reviewer followed a receipt of $164,300 banked on 2026-05-21 against INV-8944, INV-8947, where the applied amount was $165,480, a variance of $1,180. As to the facts,, short payment pending resolution of a duplicated spares charge. On short payment pending, the receipt was traced from the bank statement to the cash book and then to the customer account. Against short payment pending, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. In sequence, the receipt banked 2026-04-30 for $186,920 was traced to INV-8927, INV-8929. On a second read,, customer deducted a rebate accrued under a volume arrangement not recorded in the ledger. After matching against customer deducted a, the applied amount was $188,400, a variance of $1,480. On customer deducted a, the reviewer confirmed the posting date agrees with the bank value date. Against customer deducted a, the document inspected is dated before the cut-off, which is what makes the period attribution defensible.

Schedule 17.4 - Proof of cash receipts

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
2026-01-14	486,240	INV-8814, INV-8817	486,240	0	Full match; remittance advice identified both invoices.
2026-01-22	142,680	INV-8829	143,180	(500)	Customer withheld a disputed freight charge which was credited in February
2026-01-30	342,180	INV-8836	342,180	0	Full match; the receipt cleared two days after the invoice due date.
2026-02-03	268,450	INV-8841, INV-8842, INV-8846	268,450	0	Full match against a consolidated remittance.
2026-02-17	96,320	INV-8853	98,640	(2,320)	Early settlement discount taken outside the contractual terms; the differe
2026-02-26	512,900	INV-8861	512,900	0	Milestone payment matched to a single invoice with the customer's purchase
2026-03-05	184,760	INV-8872, INV-8875	184,760	0	Full match; both invoices relate to the same site.
2026-03-11	74,500	Unapplied	0	74,500	Deposit received before invoicing; held as a customer deposit at the revie
2026-03-19	348,620	INV-8884	346,980	1,640	Bank charges deducted by the paying bank rather than an invoice dispute.
2026-03-27	53,400	INV-8791 (settled)	0	53,400	Overpayment applied to a settled invoice and released to revenue; reversed
2026-04-08	624,180	INV-8896, INV-8901	624,180	0	Full match; the remittance advice reconciles line by

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
					line.
2026-04-23	286,500	INV-8919, INV-8923	286,500	0	Full match against two milestone invoices for the same facility.
2026-04-30	186,920	INV-8927, INV-8929	188,400	(1,480)	Customer deducted a rebate accrued under a volume arrangement not recorded
2026-05-06	92,180	INV-8931	92,180	0	Full match; subscription invoice settled by direct debit.
2026-05-14	468,720	INV-8938	468,720	0	Hardware invoice settled in full on contractual terms.
2026-05-21	164,300	INV-8944, INV-8947	165,480	(1,180)	Short payment pending resolution of a duplicated spares charge.
2026-06-04	742,860	INV-8956, INV-8958, INV-8961	742,860	0	Largest single receipt in the sample; matched across three invoices.
2026-06-18	214,680	INV-8974	216,200	(1,520)	Withholding applied by the customer's shared service centre and recovered

7. Where the record rests on representation rather than evidence

A representation is recorded here whenever it does the work that a document would otherwise do, together with whatever partial support exists. On the merits,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. On the papers,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests.

At the cut-off,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. In sequence,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. Per the index,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other. On the record, the reviewer traced ADJ-17, Founder-owned property sublease above market, which adds back $43,200 against FY2024 on a normalization basis. By reference,, a related-party sublease priced above the range indicated by comparable space inflates occupancy cost relative to what a buyer would pay at renewal. Support consists of the sublease agreement and two broker opinions on comparable industrial space, and the item was put forward by diligence. Founder-owned property sublease above was reduced at $27,600: the reviewer used the lower of the two broker opinions and confined the adjustment to the portion of the year the sublease was in force. On Founder-owned property sublease above, the item was projected across the population on the basis stated in the accompanying schedule.

Per the index,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. On reperformance,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. In substance,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. ADJ-41 concerns warranty accrual shortfall against observed failure rates and was raised by diligence as a normalization item. On the evidence,, the warranty accrual rate has not been updated since 2023 although observed failure rates on the current chassis are higher than the rate assumed. On Warranty accrual shortfall against, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Warranty accrual shortfall against is recorded as a deduction of $79,600 in LTM Jun-2026, evidenced by the field failure log, the parts cost file and a recalculated accrual. Warranty accrual shortfall against was reduced at $48,300 and the reason sits on the schedule itself.

In the event,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. On the papers,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. As matters stand,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. In the event, management proposed ADJ-13 at $88,250 for FY2025, described as trade show and customer summit costs. On the papers,, management characterizes the inaugural customer summit as a one-time brand investment. Trade show and customer was rejected outright: a second summit was contracted for October 2026 before the diligence cut-off, which makes the cost recurring in substance. Trade show and customer carries a recurrence judgment of non-recurring, and the supporting file is event vendor invoices and the internal event budget reconciliation. On Trade show and customer, the explanation offered was plausible and was still corroborated against a document before being accepted.

On this point,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. On reperformance,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. In the event,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. On the record, diligence proposed ADJ-25 at $31,200 for FY2024, described as insurance premium refund on the cancelled cargo policy. Read narrowly,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. Insurance premium refund on was accepted at $31,200: the endorsement and the replacement policy together show that coverage cost did not fall, only the accounting entry. Insurance premium refund on carries a recurrence judgment of non-recurring, and the supporting file is the broker credit advice and the policy cancellation endorsement. On Insurance premium refund on, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

Schedule 17.5 - Net debt and debt-like item schedule

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
Accrued discretionary bonus - FY2026 plan	642,800	Debt-like	The bonus relates to performance in periods before closing and would b	The plan is discretionary and the board has withheld payment before, m	Treated as debt-like on the basis that the service period is pre-closi
Accrued employer payroll taxes on the bonus	84,600	Debt-like	The payroll tax follows the bonus and is an unavoidable incremental ca	The seller argues payroll taxes are ordinary course and belong in accr	Treated consistently with the bonus itself and excluded from the worki
Accrued interest on the equipment facility	24,600	Funded debt	Interest accrued to the measurement date is part of the amount require	The amount is small and management would ordinarily leave it in accrue	Treated as debt with the principal so the retirement amount is complet
Cash held in the Ontario deployment subsidiary	184,900	Cash-like	The balance is unrestricted and available to the group without withhol	The reviewer notes intercompany settlement has historically taken six	Treated as cash; the settlement lag is noted as a timing rather than a
Customer credits and unapplied cash owed	196,400	Debt-like	These are amounts the company owes customers for overpayments and serv	Management argues most balances are resolved within a quarter through	Treated as debt-like where the customer has requested a refund, and le
Deferred revenue on undelivered deployment ser	1,468,300	Contested	The buyer must incur cost to deliver services already paid for, so the	The standard treatment leaves deferred revenue inside working capital,	Retained in working capital, with the cost-to-deliver on the two large
Earn-out accrual - Larkspur Controls	214,000	Contingent consideration	The accrual represents an obligation measured at fair value under FASB	Because settlement depends on a revenue threshold that has not been me	Left as an open item; the reviewer records the range rather than adopt
Equipment finance facility - Wetherby Capital	2,846,500	Funded debt	The facility is interest-bearing with a fixed amortization schedule an	Management notes the assets financed are productive and would be repla	Treated as debt at the outstanding principal plus accrued interest to
Finance lease -	684,300	Capital lease	The lease transfers	The counter is that	Treated as debt at the

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
Fremont production floor equip			substantially all risks and rewards and appears on	the equipment is essential and the lease replaces	recorded lease liability; the related right-of-
Finance lease - service vehicle fleet	246,800	Capital lease	Fourteen vehicles are held under leases that run to term with bargain	Management argues short-remaining-term vehicle leases behave like a re	Treated as debt; the reviewer notes the aggregate is small enough that
Payroll tax exposure - contractor classificati	168,400	Tax exposure	Field contractors engaged before the February 2026 conversion may be r	The November 2025 settlement with a former contractor released claims	Treated as debt-like at a reduced amount; the settlement release limit
Restricted cash securing the customer performa	246,500	Cash-like	The balance is company cash and will be released when the Kadence go-l	Because the cash cannot be accessed at closing, a buyer would not coun	Excluded from cash at closing and disclosed; the release condition is
Revolving line of credit - Fremont Commercial	1,200,000	Funded debt	Drawn amounts bear interest and are repayable on demand under the faci	The seller argues the revolver funds seasonal working capital and shou	Treated as debt; the working capital peg is defined excluding revolver
Sales and use tax exposure - three states	284,700	Tax exposure	No returns were filed in three states where the company has installed	Management holds a nexus opinion from its advisers concluding that ins	Treated as debt-like at the reviewer's low estimate; the opinion is no
Undeposited receipts at the measurement date	68,400	Cash-like	Cheques received and recorded but not yet deposited are company funds	Two of the cheques had not cleared by the time the reconciliation was	Treated as cash with the uncleared items identified so the bank reconc
Unfunded paid time off liability	468,900	Debt-like	Accrued leave is a settled obligation to employees earned in pre-closi	The counter is that the liability is stable, self-renewing, and behave	Split treatment: the balance in excess of the trailing twelve-month av
Unpaid transaction and success fees	386,400	Debt-like	Adviser fees triggered by the transaction are pre-closing obligations	Some engagement letters make the fee payable only on a completed trans	Treated as a seller obligation in the funds flow rather than in net de

8. Information request register at the date of this file

Open items are the most negotiated part of a diligence record, so each carries the effect if unresolved rather than only its status. By reference,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. In the event,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure.

IR-071 asks for aged unbilled receivable detail with billing triggers. The request for aged unbilled receivable detail was raised on 2026-06-29 with the seller - project accountant and nothing has been provided, leaving the item open. For aged unbilled receivable detail, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. In review,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. IR-074 asks for pto liability rollforward by employee band. The request for pto liability rollforward by was raised on 2026-06-30 with the seller - hr director and material was provided on 2026-07-10, leaving the item closed. For pto liability rollforward by, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On the merits,, the rollforward supported both the accrual movement adjustment and the split treatment in net debt. On the evidence, the seller - procurement holds IR-067, supplier settlement letter for the harness rework recovery, requested 2026-06-29. In substance,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. On supplier settlement letter for, as at the date of this file material was provided on 2026-07-02 and the item is closed. For supplier settlement letter for, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule.

On the merits, the reviewer chased IR-056, payroll register reconciled to the general ledger by month, addressed to the seller - payroll manager and requested on 2026-06-25; material was provided on 2026-07-09. The status is recorded as closed. In the file,, the reconciliation supported the compensation analysis and the annualization of the support team build. For payroll register reconciled to, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Per the workpaper, the seller - counsel holds IR-092, lease agreements and amendments for all leased premises, requested 2026-07-02. On any view,, the Fremont amendment supported the abatement normalization

and the straight-line recomputation. On lease agreements and amendments, as at the date of this file material was provided on 2026-07-09 and the item is closed. For lease agreements and amendments, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. On the record, the register carries IR-088, analysis of the pinecrest option pricing against list, addressed to the seller - revenue accountant and requested on 2026-07-02; nothing has been provided. The status is recorded as open. In this stream,, the material right judgment stays open, and any allocation to the option would move revenue between periods. For analysis of the pinecrest, the reviewer confirmed the amount does not also sit within the working capital peg.

IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, the reviewer confirmed that the same item does not also appear on the net debt schedule. In review,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. IR-085 asks for commission plan documents for all sales roles. The request for commission plan documents for was raised on 2026-07-01 with the seller - sales operations and material was provided on 2026-07-08, leaving the item closed. For commission plan documents for, the item is presented gross so that a reader can rebuild the measure from reported results. On its facts,, the plans supported the commission true-up and confirmed the accrual basis the reviewer applied. In the event, the seller - tax adviser holds IR-023, state nexus opinion supporting no sales tax filings, requested 2026-06-19. On the record,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On state nexus opinion supporting, as at the date of this file material was provided on 2026-07-02 and the item is received - under review. For state nexus opinion supporting, the conclusion rests on a document produced by a third party rather than by the company.

From the extract, still unresolved is IR-019, retention agreements underpinning the larkspur earn-out, addressed to the seller - counsel and requested on 2026-06-18; the response is partially received. The status is recorded as open. On its facts,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range. For retention agreements underpinning the, the conclusion would change if the missing supporting document is later produced in a different form. On this point, the log shows IR-107, detail of the fy2026 discretionary bonus by participant, addressed to the seller - hr director and requested on 2026-07-06; the response is partially received. The status is recorded as open. In review,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. For detail of the fy2026, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Against the ledger, the seller - revenue accountant holds IR-031, standalone selling price analysis for bundled northfield contracts, requested 2026-06-20. Per the index,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. On standalone selling price analysis, as at the date of this file nothing has been provided and the item is open. For standalone selling price analysis, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

Schedule 17.6 - Receivable, payable and inventory days by month

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2024-01	4,252,122	1,616,144	40	44	116	112	Inventory build ahead of a phase release
2024-02	4,312,108	1,677,985	61	49	99	111	Payables stretched at the period end
2024-03	5,525,080	2,368,792	51	31	112	132	Distorted by a single milestone invoice
2024-04	6,369,718	1,446,709	70	29	98	139	Improved after the credit control change
2024-05	4,559,707	1,055,700	57	45	61	73	Within the trailing average
2024-06	3,184,525	1,408,149	66	45	60	81	Distorted by a single milestone

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							invoice
2024-07	3,834,863	1,225,220	38	28	117	127	Within the trailing average
2024-08	6,385,699	1,221,920	49	36	56	69	Elevated by two late enterprise settlements
2024-09	6,025,865	2,250,670	46	39	59	66	Elevated by two late enterprise settlements
2024-10	6,785,867	1,961,400	52	36	95	111	Inventory build ahead of a phase release
2024-11	5,452,913	643,703	42	46	113	109	Elevated by two late enterprise settlements
2024-12	4,814,557	2,252,146	38	30	66	74	Improved after the credit control change
2025-01	3,520,689	1,130,254	66	28	98	136	Within the trailing average
2025-02	5,292,903	1,664,558	39	45	49	43	Payables stretched at the period end
2025-03	6,327,407	2,027,345	68	29	118	157	Improved after the credit control change
2025-04	3,592,502	1,344,381	59	61	49	47	Elevated by two late enterprise settlements
2025-05	4,066,127	2,206,013	46	60	107	93	Improved after the credit control change
2025-06	5,363,186	749,626	39	47	54	46	Payables stretched at the period end
2025-07	3,335,411	2,376,535	39	39	59	59	Distorted by a single milestone invoice
2025-08	3,384,486	1,683,622	69	35	112	146	Improved after the credit control change
2025-09	4,732,810	1,589,051	72	59	101	114	Inventory build ahead of a phase release
2025-10	4,145,578	733,377	43	41	98	100	Within the trailing average
2025-11	4,053,890	1,817,513	58	52	65	71	Elevated by two late enterprise settlements
2025-12	6,692,218	2,011,324	69	35	97	131	Within the trailing average
2026-01	6,486,599	2,176,102	68	29	98	137	Inventory build ahead of a phase release
2026-02	3,358,029	1,205,830	50	50	70	70	Improved after the credit control change
2026-03	3,372,028	750,988	68	51	115	132	Within the trailing average
2026-04	3,249,610	905,391	50	34	104	120	Within the trailing average
2026-05	5,515,003	1,259,064	41	56	60	45	Payables stretched at the period end

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2026-06	6,077,715	639,767	48	44	68	72	Improved after the credit control change

9. Scope limitations and matters the reviewer could not resolve

The limitations below are stated in the file rather than in a covering letter, because each one attaches to a specific conclusion elsewhere in this document. In detail,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. On a second read,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule.

On any view,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. Per the register,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. On the evidence,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. On the documents, among the open matters is IR-099, reconciliation of the fixed asset register to the ledger, addressed to the seller - controller and requested on 2026-07-03; nothing has been provided. The status is recorded as open. On the evidence,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. For reconciliation of the fixed, the evidence was inspected in original form rather than as a management-prepared summary.

In this stream,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. In the file,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. In detail,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. In substance, the seller - credit control holds IR-049, customer credit and unapplied cash listing at 2026-06-30, requested 2026-06-24. In substance,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. On customer credit and unapplied, as at the date of this file material was provided on 2026-07-03 and the item is closed. For customer credit and unapplied, a small residual difference remains and is reported rather than described as immaterial and omitted.

On any view,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On the merits,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. On a second read,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. Against the ledger, outstanding is IR-103, change request pricing for the vantage additional units, addressed to the seller - commercial and requested on 2026-07-06; nothing has been provided. The status is recorded as open. In review,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. For change request pricing for, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

Per the index,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. In the file,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. Per the index,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. IR-031 asks for standalone selling price analysis for bundled northfield contracts. The request for standalone selling price analysis was raised on 2026-06-20 with the seller - revenue accountant and nothing has been provided, leaving the item open. For standalone selling price analysis, the item was selected for testing because of its characteristics rather than its size. On the merits,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified.